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Earnings Note

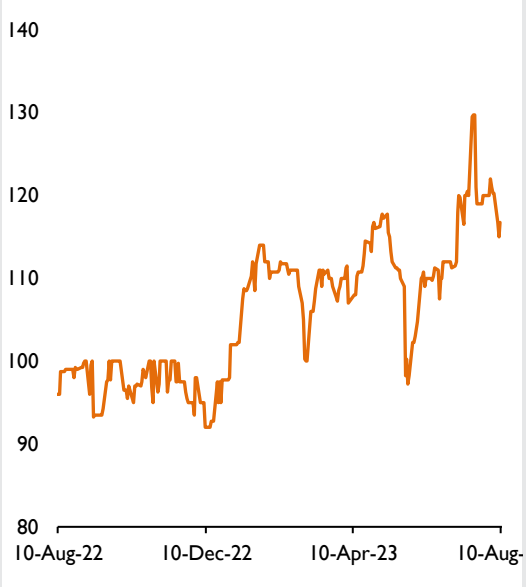
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Company details

Bloomberg Ticker	SBIC:KN
NSE Code:	SBIC
Issued Shares (Bn)	0.40
52-week high:	129.75
52-week Low	92.00

As at 10th August 2023

Price chart – Last 12 Months



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	-2.51%	1.08%	4.24%	21.61%

AIB-AXYS Research, NSE

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August 10th 2023

Stanbic Bank HY'23 Earnings Note

Recomm: HOLD | **Current Price**: KES 119.25 | **Target Price:** KES 121.09

Summary

- **Stanbic Holdings PLC HY'23 earnings results were higher than our expectations. The lender posted a 47.01% y/y climb in PAT and a 47.07% growth in EPS** to KES 7.05Bn and KES 17.84 per share respectively driven by a 44.44% y/y growth in net interest income and a 29.74% growth in non-interest income. NIMs remained adequate at 5.66% with trailing ROaE and ROaA declining y/y to 18.79% and3.17% respectively. The board of directors recommended a KES 1.15 interim dividend on the back of improved performance, contrary to expectations, pointing to a higher expected FY'23 total dividend.

- **Customer Deposits grew 10.51% y/y to KES 285.38Bn slower than the 15.30% y/y growth in the Loan Book to KES 281.39Bn** leading to a 410bps increase in the loan to deposit ratio to 98.60%. Deposits decline was partly driven by cyclical customers and transitory franchise business which we suspect is related to trade finance and large corporate clients. We observed a notable jump in lending to SME's (KES 22.00Bn vs KES15.00Bn in HY'22) and digital lending through Mjeki Platform (KES 23.00Bn vs KES 16.00Bn in HY'22) highlighting the growth potential in digital lending business. D.A.D.A lending similarly grew (KES 8.40Bn vs KES 6.90 Bn in HY'22) as well as Affordable Housing lending (KES 219.00Mn vs 156.00Mn in HY'22). Infrastructure lending came in at KES 1.20Bn a decline from KES 5.00Bn in HY'22. Allocation to investment securities grew 4.10% y/y to KES 54.73Bn in HY'23 driven by the hunt for higher yields.

Key Highlights

- **Net interest Income Growth Outpaced Non-Funded Income:** Net Interest Income grew 44.44% y/y to KES 12.05Bn against a 29.72% y/y increase in Non-Funded Income to KES 8.90Bn mainly driven by increase income from the loan book with the continued implementation of Risk Based Lending and interest income from government securities due to the recent uptick in government yields. The slower growth in Non-funded Income shifted the NII:NFI revenue mix to 58:42 from 55:45 in HY'22. Yield on assets grew 84bps y/y to 5.22% as income from government papers grew faster than interest earning assets in the year. Effects of the rising interest environment were felt by the 48bps increase in cost of funds to 1.73%.
- **Lower Costs on the back of Improved Efficiency**: The Cost to Income ratio less impairment declined by 663bps y/y to 41.62% (management guidance is lower 40s). CTI improvement was driven by operating income (+37.80% y/y) growing faster than operating expenses (+18.86% y/y). Loan loss provisions edged up 97.99% y/y to KES 2.50Bn attributed to a downgrade on specific corporate loan accounts.
- **Asset Quality Concerns Driven by Exposure to Risky Sectors:** Gross NPL's increased 22.25% y/y to KES 29.45Bn leading to a marginal NPL ratio increase by 63bps y/y to 9.98% , lower than the latest industry average of 14.50%. Adjusted for currency depreciation the NPL ratio stood at 8.60%. NPL coverage deteriorated 956bps to 46.41% from 55.97% in HY'22. Cost of risk increased marginally by 37bps on the back of higher provisioning due to downgrading of a select loan accounts. We expect the asset quality to continue coming under pressure resulting from continued local currency depreciation. Foreign currency loans (47% of the portfolio) from local currency loans (53% of portfolio) have continued to come under pressure following the continued shilling's depreciation.

Outlook – We expect future growth of the lender to be driven by 1) Improvements in digital transaction channels such as Mjeki and the mobile banking mobile app improving customer experience and providing a one-stop shop 2) Further Implementation of risk-based pricing model which will lead to loan book growth and consequently increase in interest income 3) Growth services offered to the SME sector which could lead to an increase in the loan book 4) Network expansion – We expect the lenders continued branch expansion to increase customer base and enhance customer deposit mobilization. We expect non-funded income to continue to be driven by the dollar shortage which continues to present arbitrage opportunities to increase forex trading revenue since the lender has a significant exposure to trade finance in dollar reliant industries. Investment banking business and bancassurance business are expected to perform better given the anticipation of improvement in the macro environment. However, we anticipate the lenders loan book to continue remaining under pressure driven by impacts of inflationary pressures on consumers purchasing power.

Valuation - At the Current Market Price, the stock is trading at a P/E ratio of 6.54x, a P/BV ratio of 0.72x. The announcement of the KES 1.15 interim dividend is likely to excite investors as it could point to expectations of higher total dividend for FY'23 compared to FY'22. We believe that the current share price does not provide an attractive entry point as as such, we maintain our HOLD recommendation with a target price of KES 121.09 representing a 1.54% upside from today's closing price of KES 119.25.

Financial Statement Summary

1. Statement of Profit and Loss

	FY19	FY20	FY'21	HY'22	FY'22	HY'23	y/y Change
Net Interest Income	13,347.74	12,795.16	14,373.20	8,343.23	18,945.44	12,050.74	44.44%
Net non-Interest Income	11,433.07	10,442.21	10,616.95	6,859.82	13,137.57	8,898.53	29.72%
Total Operating income	24,780.81	23,237.37	24,990.15	15,203.04	32,083.01	20,949.28	37.80%
Provision for Impairment	(3,150.56)	(4,875.69)	(2,523.55)	(1,260.89)	(4,943.58)	(2,496.48)	97.99%
Total Operating expenses	(13,920.49)	(12,134.52)	(12,710.86)	(7,335.20)	(14,967.97)	(8,718.32)	18.86%
Profit before tax	**7,709.76**	**6,227.15**	**9,755.74**	**6,606.95**	**12,171.47**	**9,734.48**	47.34%
Profit after tax	**6,380.62**	**5,192.24**	**7,208.09**	**4,796.40**	**9,059.65**	**7,051.27**	47.01%
Core EPS	16.14	13.13	18.23	12.13	22.92	17.84	47.07%
DPS	7.05	3.80	9.00	-	12.60	1.15	>100%

2. Statement of Financial Position

	FY19	FY20	FY'21	HY'22	FY'22	HY'23	y/y Change
Government Securities	70,077.82	87,583.54	59,535.56	52,570.45	83,551.13	54,725.81	4.10%
Loans and Advances	191,194.57	196,300.03	229,321.28	244,040.54	266,828.38	281,386.44	15.30%
Total Assets	**303,624.59**	**328,594.52**	**328,871.81**	**341,579.51**	**399,829.62**	**384,280.17**	12.50%
Customer Deposits	224,672.91	259,970.05	254,588.38	258,231.01	304,316.95	285,379.62	10.51%
Total Liabilities	254,589.83	276,863.56	272,418.78	283,389.44	337,631.20	320,329.23	13.03%
Total Equities and Liabilities	**303,624.59**	**328,594.52**	**328,871.81**	**341,579.51**	**399,829.62**	**384,280.17**	12.50%

Source: NSE, CBK, Company Fillings, AIB-AXYS Analyst Estimates



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